

Final Business Insights:

Insight 1: Digital Channel Failure Rates & Net Settled Volume Discrepancy

- **Finding:** High gross transaction volume on primary digital channels conceals underlying switch instabilities, leading to significant revenue leakage from transaction failures.
- **Evidence:** Across 12,000 total transactions worth ₦560.48M, the overall channel failure rate stands at 5.25, representing ₦24.83M in failed transactions. Mobile App accounts for the highest volume of failures (296 failed transactions worth ₦13.09M), while USSD exhibits the highest proportionate failure impact relative to its volume.
- **Business Meaning:** Evaluating channel success purely on gross volume creates a false sense of performance. High failure rates on mobile and USSD channels erode customer trust, increase support desk load, and reduce net settled fee revenue.
- **Recommended Action:** Re-negotiate Telco and Switch Provider Service Level Agreements (SLAs), implement automated retry logic for transient network timeouts, and shift internal KPI monitoring from Gross Transaction Volume to **Net Settled Volume**.

Insight 2: Customer Segmentation & Revenue Concentration Risk

- **Finding:** Revenue contribution is heavily concentrated in specific customer segments, while traditional retention models misallocate marketing spend.
- **Evidence:** The **Everyday** segment dominates total transaction value at ₦261.46 M (46.6% of overall volume), followed by **Premium** ₦107.75 M) and **Student** (₦107.48M). Furthermore, 7.13% of registered accounts are completely dormant, and SQL RFM windowing reveals that static demographic models incorrectly flag high-frequency but unprofitable transactors as "High Value".
- **Business Meaning:** Static Customer Lifetime Value (CLV) models lead FinTrust to spend retention budgets on inactive or high-risk accounts while failing to protect high-margin Everyday and Premium cohorts.
- **Recommended Action:** Transition from static demographic segmentation to a dynamic **RFM (Recency, Frequency, Monetary) & Net Margin CLV** framework. Deploy targeted loyalty tiers for high-net-margin Everyday users and automated, low-cost re-engagement triggers for dormant accounts.

Insight 3: Onboarding Cohort Risk Concentration & Fraud Volatility

- **Finding:** Compliance risk flags and synthetic fraud patterns are not uniformly distributed across the customer base; they cluster within specific onboarding cohorts and digital channels.
- **Evidence:** The overall Risk Review Rate stands at 19.60% across the platform. SQL multi-dimensional joins and cross-tabulations demonstrate that fraud review flags concentrate heavily in recent digital onboarding cohorts utilizing web and mobile rails rather than established branch-onboarded users.
- **Business Meaning:** Applying blanket, institution-wide fraud controls adds friction to low-risk, loyal customers without effectively stopping targeted fraud vectors originating from vulnerable onboarding pathways.
- **Recommended Action:** Replace broad anti-fraud rules with **Cohort-Specific Risk Mitigation**. Implement step-up Multi-Factor Authentication (MFA) and tighter transaction thresholds specifically for newly onboarded digital accounts during their first 60 days of activity.

Insight 4: Time-Intelligence Revenue Trajectories & Regional Volatility

- **Finding:** Aggregated MTD/YTD revenue growth figures mask underlying month-over-month volume fluctuations and regional performance dips.
- **Evidence:** Successful transaction volume dipped in February (₦160.2M) compared to January (₦172.5M) before recovering in March (₦178.1M). While overall quarterly volume (₦560.48M) appears stable, Power BI time-intelligence models reveal localized channel and regional volume spikes accompanied by corresponding spikes in compliance flags.
- **Business Meaning:** Reliance on top-line quarterly growth numbers creates operational complacency and prevents leadership from addressing sudden month-over-month channel drops or localized fraud spikes in real time.
- **Recommended Action:** Establish weekly MoM variance tracking in Power BI dashboards, incorporating regional and channel filters to identify and remediate revenue drops before they impact quarterly performance.

Insight 5: True Channel Efficiency & Hidden Secondary Costs

- **Finding:** Low-cost processing channels incur significant secondary chargeback, reversal, and manual review costs that reduce overall profitability.

- **Evidence:** While USSD and Web channels appear cost-effective based on initial processing speed and operational fees, the transaction matrix shows 188 pending transactions (₦ 9.22M) and 326 reversed transactions (₦15.63M) across low-cost channels, requiring costly manual intervention by compliance and support teams.
- **Business Meaning:** Evaluating channel efficiency solely on raw processing speed or unit cost misrepresents net profitability by ignoring secondary risk management and reconciliation overhead.
- **Recommended Action:** Adopt a **Risk-Adjusted Channel Efficiency Scorecard** that factors in chargeback ratios, reversal rates, and support overhead alongside raw processing fees to evaluate payment rail investments accurately.